

Document 35. Last-48-Hours Cram Pack — No New Content. Just Recall.

Read only this in the final 48 hours. If you have done the rest of the suite, this page will reinstate all the moving parts you need. Do not learn anything new. Confirm fluency.

Use protocol. (1) Read once, slowly. (2) Cover each framework, write it from memory, check. (3) Cover each diagram, sketch from memory, check. (4) Sleep. Do not re-read at 2am.

Section A. The 10 Frameworks (Verbatim Spine)

1. DD/SS Price Adjustment (7 steps). (i) Initial equilibrium at P_0, Q_0 . (ii) Trigger shifts DD or SS. (iii) At old price, shortage/surplus arises. (iv) Upward/downward pressure on price. (v) Quantity demanded contracts/extends; quantity supplied extends/contracts. (vi) Price continues to adjust until shortage/surplus cleared. (vii) New equilibrium at P_1, Q_1 .

2. Externality (7 steps). (i) Identify MPB / MPC. (ii) Identify external cost/benefit, draw MEC/MEB wedge. (iii) Derive MSB / MSC. (iv) Free-market equilibrium where MPB = MPC at Q_m . (v) Socially optimal where MSB = MSC at Q^* . (vi) Identify over/under-allocation $|Q_m - Q^*|$. (vii) Deadweight loss = triangle between MSB and MSC over $[Q^*, Q_m]$.

3. Indirect Tax Welfare. Tax t shifts SS up by t . New P rises by less than t if DD inelastic. Consumer burden = $(P_1 - P_0) \times Q_1$. Producer burden = $(P_0 - (P_1 - t)) \times Q_1$. Government revenue = $t \times Q_1$. DWL = triangle on $[Q_1, Q_0]$.

4. Multiplier Process (7 steps). (i) Autonomous injection ΔJ . (ii) Increases incomes by ΔJ . (iii) Households spend MPC fraction; save/leak $(1 - \text{MPC})$. (iv) Induced spending = $\text{MPC} \times \Delta J$. (v) Becomes income for next round; multiplier iterates. (vi) $k = 1/(1 - \text{MPC})$ or $1/\text{MPW}$. (vii) Total $\Delta Y = k \times \Delta J$.

5. Demand-Pull Inflation (5 steps). (i) AD rises (C, I, G, or X-M up). (ii) At given price level, $\text{AD} > \text{SRAS}$. (iii) Firms raise prices, expand output along upward-sloping SRAS. (iv) Higher P feeds wage demands, AS may shift left in long run. (v) New equilibrium: higher P , higher Y (short-run); higher P only (if at full employment).

6. Cost-Push Inflation (5 steps). (i) Cost shock (oil, wages, import prices, depreciation). (ii) SRAS shifts left. (iii) Equilibrium P rises, Y falls — stagflation. (iv) Persistent if wage-price spiral. (v) Policy response: supply-side, not demand management.

7. Cyclical Unemployment (6 steps). (i) AD falls (recession trigger). (ii) Firms face lower demand for output. (iii) Derived demand for labour falls. (iv) Real wages sticky $\Rightarrow$ firms shed workers, not wages. (v) Unemployment rises above NRU. (vi) Output gap $(Y^* - Y_a)$ opens; multiplier deepens it.

8. Sustained Growth (6 steps). (i) Policy raises AD (fiscal/monetary) $\Rightarrow$ short-run actual growth. (ii) Higher $Y \Rightarrow$ higher I (accelerator). (iii) Higher $I \Rightarrow$ capital stock rises. (iv) Plus supply-side (education, R&D) $\Rightarrow$ labour/TFP rises. (v) LRAS shifts right (potential growth). (vi) AD and LRAS rise together $\Rightarrow$ sustained non-inflationary growth.

9. Exchange Rate (6 D/S factors). Demand for S\$: (1) X demand, (2) inward FDI, (3) speculation in $\uparrow$ S\$, (4) interest differential ($r_{SG} > r^*$), (5) tourism inflow, (6) MAS intervention buying S\$. Supply of S\$: (1) M demand, (2) outward FDI, (3) speculation in $\downarrow$ S\$, (4) lower r_{SG} , (5) tourism outflow, (6) MAS intervention selling S\$.

10. MAS Exchange-Rate-Centred Policy (3 levers). (1) *Slope*: rate of appreciation of the S\$NEER band. (2) *Width*: band tolerance for fluctuation. (3) *Centre*: re-centring up (tightening) or down (easing). Tighter $\Rightarrow$ stronger S\$ $\Rightarrow$ lower imported inflation $\Rightarrow$ lower P . Looser $\Rightarrow$ weaker S\$ $\Rightarrow$ NX up $\Rightarrow$ AD support.

Section B. The Must-Memorise Diagrams (Sketch Each Without Notes)

- DD/SS price adjustment (shift + new equilibrium)
- Negative production externality (MPC, MSC, MEC wedge, $Q_m > Q^*$, DWL triangle)
- Positive consumption externality (MPB, MSB, MEB wedge, $Q_m < Q^*$, DWL triangle)
- Indirect tax incidence (parallel SS shift, P rise, CS/PS/GovRev/DWL areas)
- Price ceiling (below equilibrium, shortage, DWL)
- Price floor (above equilibrium, surplus, DWL)
- Perfect competition long-run ($P=MC=AC$ at min AC, normal profit)
- Monopoly ($P > MR=MC$, supernormal profit area, allocative inefficiency)
- AD/AS three regions (Keynesian flat, intermediate, classical vertical)
- Demand-pull inflation ($AD_1 \rightarrow AD_2$, $P \uparrow$, $Y \uparrow$ then constrained)
- Cost-push inflation ($SRAS_1 \rightarrow SRAS_2$, $P \uparrow$, $Y \downarrow$)
- Cyclical unemployment (AD fall, $Y_a < Y^*$, output gap)
- Actual vs potential growth (AD shift on intermediate vs LRAS rightward shift)
- BOP-J-curve (CA worsens then improves post-depreciation)
- Forex demand/supply ($D \uparrow$ S\$ $\Rightarrow$ appreciation; $S \uparrow$ S\$ $\Rightarrow$ depreciation)
- Managed float band (S\$NEER trend line with $\pm$ band)

NOTE: Cross-reference: every diagram above is fully labelled in Doc 3 (Diagram Bank) and within its parent topic doc.

Section C. Singapore Anchors (Memorise 1 per Topic)

Micro: COE (negative externality from congestion); carbon tax S\$25/tCO₂e (Pigouvian); HDB grants (positive externality of stable housing); SkillsFuture credits (positive externality of training); ART kits during COVID (positive externality of disease screening).

Macro — Inflation: MAS appreciation stance (Apr 2022, Oct 2022) to combat imported inflation; GST rise to 9% Jan 2024.

Macro — Growth/Unemployment: JGI (Jobs Growth Incentive 2020–22); R&D tax incentives; Productivity Solutions Grant (PSG); SkillsFuture (long-run AS).

Macro — BOP / Exchange Rate: CA surplus driven by exports of services + electronics; FDI inflows; MAS S\$NEER managed float.

Trade: Free trade agreements (USFTA, EUSFTA, RCEP, CPTPP); openness ratio >300% of GDP.

Section D. Acronym Toolkit (Recall Triggers)

C-E-F test (for evaluation): *Conditional* (does it depend on X?), *Empirical* (what does the extract show?), *Frame* (short-run vs long-run; partial vs general).

TEEL+E (essay paragraph): Topic sentence $\rightarrow$ Explain $\rightarrow$ Evidence $\rightarrow$ Link $\rightarrow$ Evaluate.

LIDAS (CSQ): Launch with definition $\rightarrow$ Illustrate with diagram $\rightarrow$ Develop with 7-step $\rightarrow$ Anchor to extract $\rightarrow$ Stop, do not over-write.

MASTER (Singapore policy mix): MAS exchange rate $\rightarrow$ AD-side fiscal $\rightarrow$ Supply-side $\rightarrow$ Trade

openness → Externalities tax/subsidy → Redistribution (CPF, Workfare).

4 Cs (evaluation criteria): Cost, Conditionality, Comparability, Conflict (with other goals).

Section E. Top 10 Marks-Grabbers (Habits, Not Knowledge)

1. Always define key terms in the first sentence of every (a) part.
2. Every diagram fully labelled (axes, both curves, equilibrium points, shaded areas).
3. Quote the extract: “Extract 2 states. . .” with a number and unit.
4. One Singapore example per body paragraph.
5. Evaluation = at least two of: magnitude, conditionality, time-horizon, alternative, distribution.
6. Synthesis conclusion takes a stance: “On balance, X is more effective *because Y, conditional on Z.*”
7. Avoid passive verbs in conclusions (“it depends” alone is not evaluation).
8. Time-box: never spend >1.2 min per mark on (a)–(c); essays = 3 min/mark inclusive of plan.
9. For policy essays, always include one alternative policy comparison.
10. For micro CSQs, always state the type of market failure before recommending a policy.

Section F. The Last 12 Hours — Do Only This

12 hrs before paper. Re-read Section A frameworks once.

8 hrs before. Sketch all Section B diagrams blind, check against Doc 3.

6 hrs before. Re-read Section C Singapore anchors.

4 hrs before. Eat a proper meal. Stop revising.

2 hrs before. Light skim of Doc 36 (Common Mistakes), close laptop.

1 hr before. Pack: 2 pens (black), pencil, ruler, sharpener, eraser, calculator (P2 only), ID, water. Use the toilet. Walk in calm.

Final word. You have done the preparation. The exam is now an execution problem, not a learning problem. *Deploy what you already know.* Walk in, breathe, define, diagram, framework, evidence, evaluate, conclude. Repeat for every part. You will earn the grade.